

Common Banking Fees

The following are some of the most common banking fees you will may encounter, regardless of which institution you choose to bank with, and how to avoid these fees:⁴⁶

Monthly maintenance/service fee: Some banks charge a fee every month to hold your money in an account with them. These fees can range from \$4 to \$24 and usually apply to checking accounts. The easiest way to avoid these fees is to choose a free checking and/or savings account that does not charge monthly fees. Additionally, some banks may waive your monthly maintenance fee if you set up monthly direct deposits; keep a minimum balance in your account, have other accounts or products with them, or are a student.⁴⁷

Automated teller machine (ATM) fees: Often around \$1 to \$2 per transaction, ATM fees can often be avoided by using your own bank's ATMs or by using an ATM that is part of your bank's co-operative network of institutions that allow free withdrawals at their ATM locations. Remember, while you can withdraw funds at any ATM that is a member of your general network, you can usually only deposit money at an ATM owned by your bank. Avoid ATM fees whenever possible and convenient.⁴⁸

Overdraft fees: If your account balance is insufficient but you have a check or transaction that is cleared, your institution may have paid the check or transaction for you. However, you may be charged a fee for this service. These charges are often in the \$25 to \$35 range *per check or transaction cleared*. While this result is preferable to enduring a bounced check (and a similar fee), these fees can quickly add up if you've miscalculated and presented more than one check for payment. This can also happen when you use your debit card on an insufficient balance – your bank might cover it, then charge you, instead of declining your transaction.

Overdraft fees are an easy accident to have happen. To avoid these fees, sign up for direct deposit so your income is automatically and consistently deposited into your account. This will help maintain a minimum balance in your checking account. You can also download your bank's

⁴⁶ Elizabeth Gravler. "7 Common banking fees and how to avoid them." *CNBC Select*.
<https://www.cnn.com/2019/08/19/finance/banking-fees/index.html>

⁴⁷ Stephanie Colestock. "What are checking account monthly maintenance fees? *Credit Karma*, Oct. 19, 2021.
<https://www.creditkarma.com/money/i/monthly-maintenance-fee>

⁴⁸ Original material from Peerlink National Technical Assistance Center

mobile app to check your balance easily and frequently to make sure you have the money before making purchases.

Not sufficient funds (NSF) fees: If you don't have enough money in your bank account and you don't have overdraft protection, insufficient funds can cost you when you try to make a purchase. The maximum NSF fees that can be charged are set by individual states, usually up to \$35- \$45 *per check or transaction*. These fees should be avoided at all costs (pun intended).

Insufficient funds fees and bounced check fees can be avoided by checking your account balance frequently and transferring money to your account in advance. You can often sign up for notifications via text or email to be alerted by your bank when your balance is low.

Stop payment fees: If you've sent someone a check, but it never arrived at its destination, you may have to stop payment on this missing check. Stop payment fees are more widely accepted than many other bank charges, because they are sometimes necessary to protect you from further loss. Often these fees are in the \$5 to \$10 range.⁴⁹

Early withdrawal fees: Normally associated with a *certificate of deposit* (an account similar to a savings account but usually with a fixed term and fixed interest rates), these fees can be substantial. A common early withdrawal fee is the loss of all interest due. For example, if you have a \$5,000 CD earning 6% interest per year, with interest that is posted every three months, and you decide to withdraw your funds after just two months, your fee could be \$50 (all interest earned).

Always attempt to avoid early withdrawal fees by not touching your certificate of deposit until its term is over. CD terms can range between 3 months and 5 or more years, and the longer you let it sit, the more interest you will gain.

Early closing fee: Most banks charge you a fee if you close your account during a specified period of time after opening it (usually 90 to 100 days). These fees can be up to \$25, so check with your bank about their rules before you cancel your account.

Low balance checking account fees: If you have a checking account that requires a minimum balance amount, you might incur \$5 to \$15 dollars in fees every month that your "average

⁴⁹ Original material from Peerlink National Technical Assistance Center.

balance" dips below the minimum specified by your account terms. Should you have trouble keeping the minimum amount, switch your checking account to one without this requirement or keep tabs on your account with phone or internet banking options so you can deposit money into your account when it gets low.

Excessive transaction fee: Excessive transaction fees occur when you withdraw over the federal limit from your savings account. The federal limit is six free withdrawals and transfers per month. These fees range from \$3 to \$25 per transaction. They can be avoided if you use your checking account for consistent withdrawals, such as paying bills, instead of your savings account.

Opening a Bank Account

Step 1: Choose an Institution

You may have already done this. If not, shop around. What type of account do you want? A savings account? A free checking account? Would you like to use a credit union? See who has the features you want and open a bank account with them.

Step 2: Go to the Bank or Website

The easiest way to get this done is find the institution's website. The advantage of opening a bank account online is that you can do it at anytime, anywhere. You can also show up at the branch during business hours to open an account in-person.

Step 3: Pick the Product You Want

Any financial institution will have a variety of account types and services that you can mix and match. Pick the one that has the combination of services that is right for you. On the bank's website, you may need to click "Open Bank Account," then "Checking," and finally "Free Checking." If you open a bank account in person, you can just chat with a banker who will help you open the best account for your needs.

Step 4: Provide Your Information

In order to open an account, you must provide some information to the bank. This is to protect them against risk and comply with a variety of regulations. You'll need to provide your name, birthday, address, and identification numbers (in the U.S., this is most likely your Social Security Number). You may also need to provide a government I.D. like your Driver's License or Passport. When filling out this information online, make sure you are on the bank's official website before